blow to supply chains across the Indian economy, destroyed precious working capital, dented business confidence, and set back economic activity everywhere in the country. In and of itself, this was a completely misdirected objective, which failed spectacularly, at great cost to both the informal and formal sectors of the Indian economy.

To Lower Interest Rates by Forcing 'Idle' Savings into the Banking System

As a stated goal of demonetization, this was quite Kafkaesque. On 7 December 2016, the Secretary, Economic Affairs claimed, 'demonetization had been carried out to *force Indians* to put domestic *savings lying idle at home* into the banking system, so that banks can use that money to *give loans at lower interest rates*.'[44] Undoubtedly, demonetization did succeed in forcing all of India to put money into the banking system, though it is questionable whether forcing people to deposit their money into a bank is a desirable or an ethical objective, or indeed, whether 86.9 per cent of the country's Cash in Circulation can be called 'idle savings' lying at home.

Quite apart from the ethical questions around forcibly impounding the nation's cash and/or savings, there are several concerns with this objective such as:

1. What impact did these artificially lower interest rates have on depositors (especially on pensioners and senior citizens) who had their life savings in fixed deposits in banks? (62 per cent of Indian household savings are held in banks.)
2. What effect did this move have on the profitability of banks? Did they benefit from the sudden influx of deposits?
3. What effect did the upsurge in bank liquidity have on the RBI's liquidity management operations, and at what cost? (Note: RBI's domestic earnings declined as it had to pay interest of ₹17,426 crore after it mopped up excess liquidity in the banking system following demonetization. The previous year, the central bank